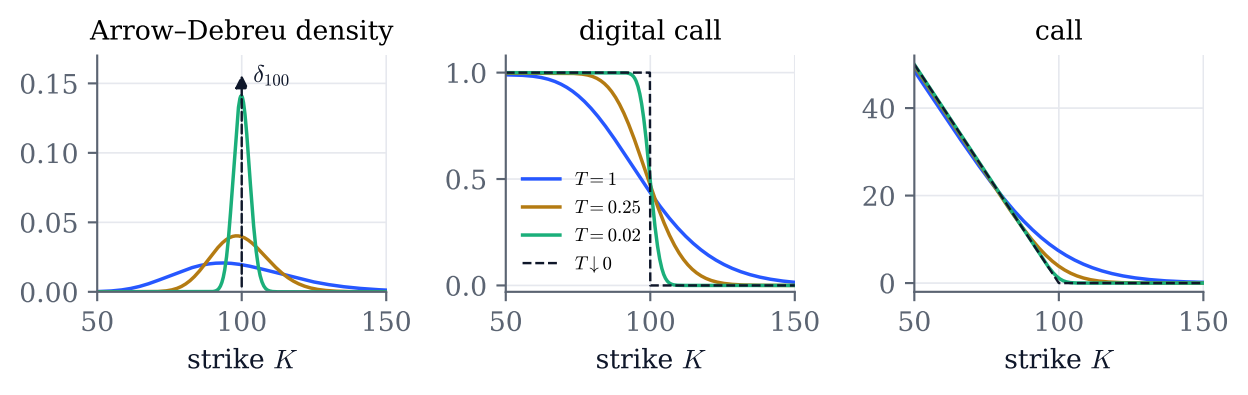
Arrow–Debreu density
δ_{100}
0.15
0.10
0.05
0.00
50
100
150
strike K
digital call
1.0
0.5
0.0
$T = 1$
$T = 0.25$
$T = 0.02$
$T \downarrow 0$
50
100
150
strike K
call
40
20
0
50
100
150
strike K